

Agentic AI in Banking

A governed operating blueprint
for AI, GenAI and bounded agents

RETAIL BANKING | CORPORATE LENDING | TREASURY | TRADE FINANCE | PAYMENTS

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Banking is a connected operating system

From digitised transactions to governed decision workflows - across the full banking value chain.

ADOPTION: 85%+ (ECB) | VALUE CASE: >1 DAY -> 15 MIN (FSB) | DEPENDENCY: CONCENTRATION CONTROLS

CORE BUSINESS DOMAINS



AI-ENABLED WORKFLOW LAYER AI predicts, scores and detects | GenAI retrieves, summarises and drafts | Bounded agents plan and execute permitted workflow steps

FINANCIAL CRIME RISK & COMPLIANCE - CROSS-BANK CAPABILITIES



CONTROL PLANE AI GOVERNANCE | MODEL RISK MANAGEMENT | SECURITY & PRIVACY | HUMAN OVERSIGHT | OPERATIONAL RESILIENCE

Credit risk is embedded in corporate lending and portfolio monitoring. Customer identity and transaction integrity cut across every business domain.

Legal classification and bank materiality are different

Classify the intended purpose under applicable law; tier the system internally by customer impact, autonomy, exposure and reversibility.

INDICATIVE EU AI ACT LENS	BANKING EXAMPLES	ENTERPRISE CONTROL RESPONSE
PROHIBITED STOP SCREEN DO NOT DEPLOY	Manipulative or deceptive AI causing significant harm; social scoring; prohibited sensitive-attribute biometric categorisation; workplace emotion inference except narrow permitted cases.	Prohibit at intake. Block procurement, development and deployment; escalate exceptions to Legal and Compliance.
LIKELY HIGH-RISK WHERE ANNEX III PURPOSE IS MET LEGAL + CRITICAL	Natural-person creditworthiness or credit scoring; certain permitted remote biometric identification; specified biometric categorisation or emotion recognition uses.	Risk management, data quality, logging, documentation, human oversight, robustness, conformity and post-market controls when applicable.
TRANSPARENCY / LIMITED OBLIGATIONS DISCLOSE	Customer chatbots, voicebots or avatars; machine-readable marking of synthetic outputs; required disclosure for deepfakes and relevant public-interest content.	Tell people when they interact with AI; apply marking/labelling and clear escalation to a human where required.
GENERALLY LOWER / MINIMAL AI ACT EXPOSURE NOT A FREE PASS	Internal search, summarisation, operational forecasting, document extraction, payment repair, corporate-credit tools, fraud detection and AML monitoring - depending on exact purpose and role.	Privacy, conduct, sectoral rules, security and bank MRM still apply. Raise the internal tier when impact, scale or actionability increases.

BANKING MATERIALITY OVERRIDE

Corporate lending to legal entities, KYC & AML and fraud detection are not automatically Annex III high-risk - yet each can require a HIGH or CRITICAL internal control tier.

CURRENT EU APPLICATION DATES

2 AUG 2026

Article 50 transparency

2 DEC 2027

Annex III high-risk duties

2 AUG 2028

Annex I product systems

Five core workflows: automate the work, not accountability

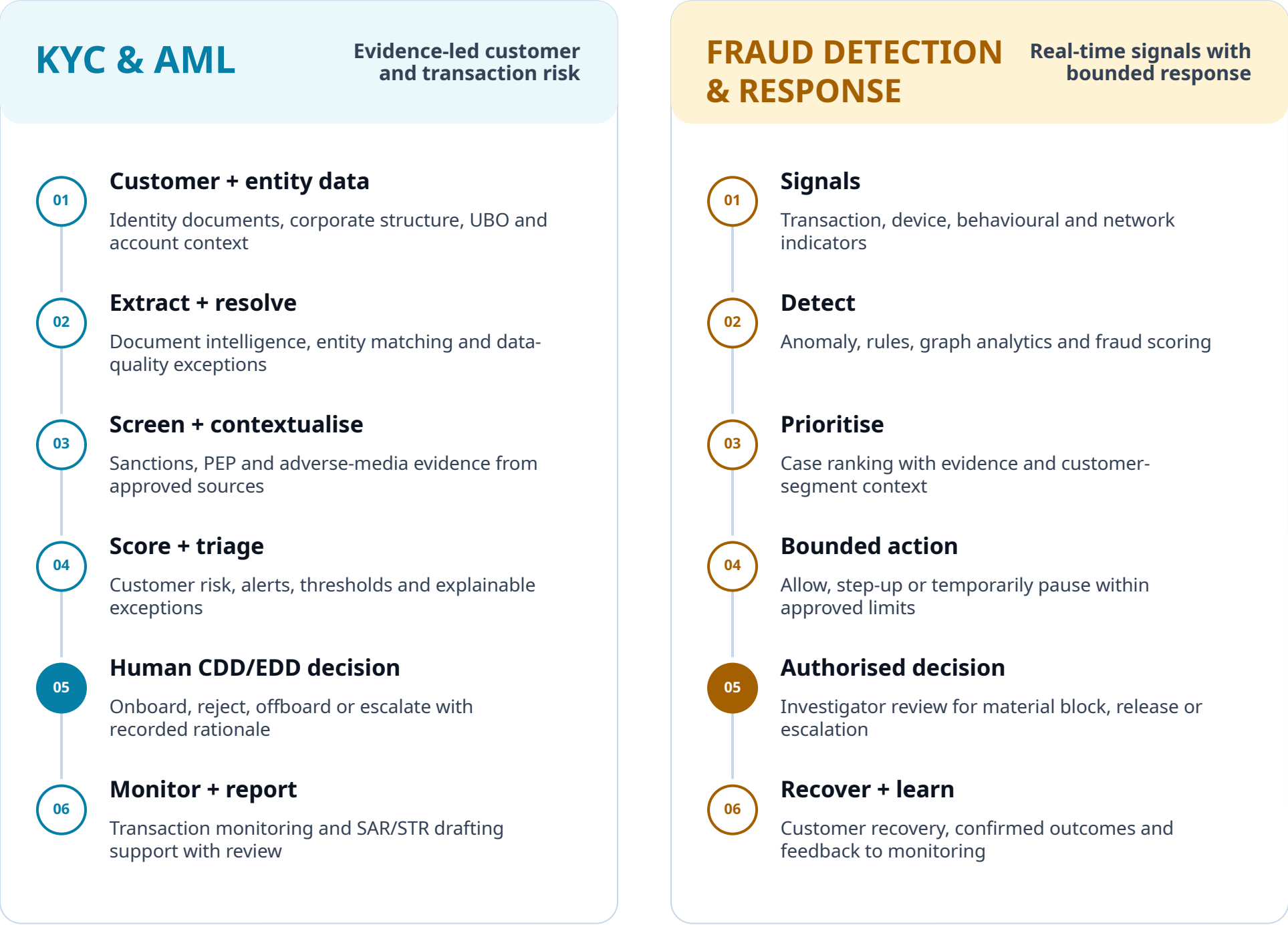
Agents may retrieve, calculate, draft, reconcile and route. Material decisions remain behind authorised human and system gates.



MATERIAL OR IRREVERSIBLE COMMITMENTS REMAIN BEHIND AUTHORISED HUMAN AND SYSTEM CONTROL GATES

Financial Crime Risk & Compliance

KYC & AML, together with Fraud Detection & Response, operate as cross-bank intelligence loops across onboarding, lending, trade finance, treasury and payments.



COMMON CONTROL TESTS

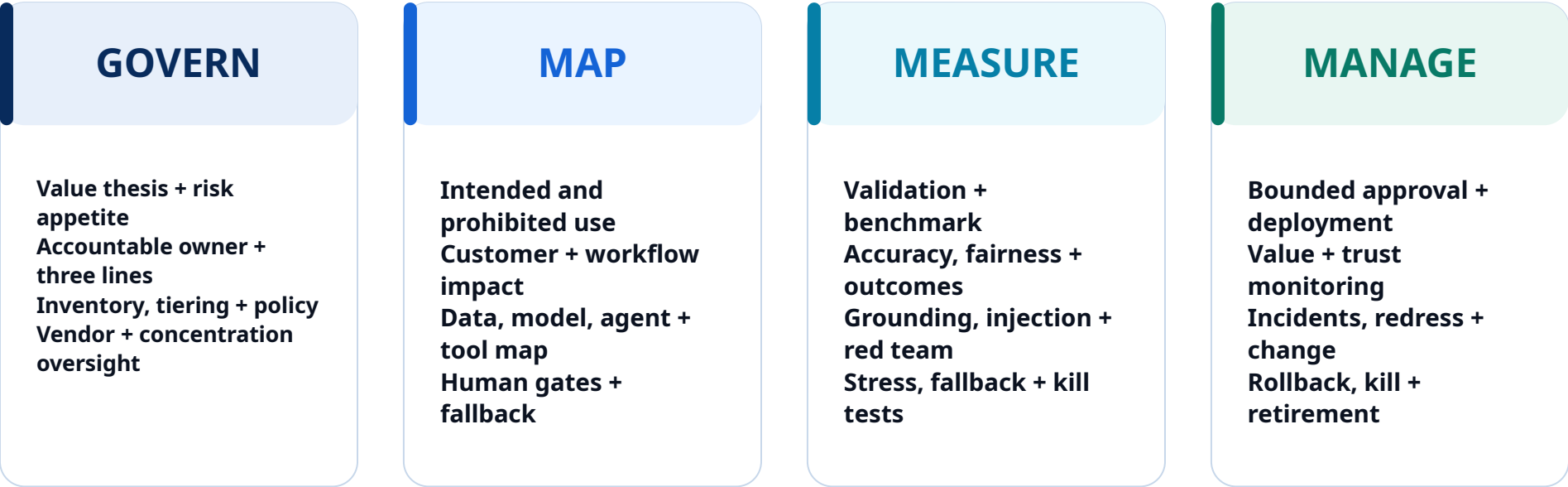
Evidence links | False positives + false negatives | Segment outcomes | Data lineage + access | Human authority | Drift + threshold monitoring

IMPORTANT DISTINCTION

Financial fraud detection is excepted from the EU AI Act creditworthiness item. That does not make fraud or AML low operational risk: customer harm, false positives, legal obligations and real-time actionability can justify enhanced controls.

Govern the system. Validate the model. Control the action.

NIST's Govern-Map-Measure-Manage cycle becomes practical when MRM, runtime assurance and customer protection are woven through it.



MODEL RISK MANAGEMENT SPINE



BOUNDED ACTION ARCHITECTURE



MODEL + PROVIDER CONCENTRATION

44% Top three named model providers in the BoE/FCA survey*

Map shared model, cloud, data and tool dependencies. Cap aggregate exposure; test common-mode outage/error; maintain alternative provider, portability and manual fallback.

KILL SWITCH + SAFE FALLBACK

Keep the stop control outside the agent. Revoke tool and credential access, cancel queued actions, preserve evidence, reconcile in-flight state and move to read-only, validated rules or a manual queue.

CBUAE 2026 guidance expressly supports immediate human ability to cease AI use.

Meaningful human oversight requires authority, competence, time and evidence to challenge or override - not ceremonial approval.

One control architecture; multiple regulatory lenses

The sources differ in legal status and scope. The practical response is to map each obligation into one enterprise control system.

STATUS

BINDING

SUPERVISORY

DRAFT / PROPOSED

VOLUNTARY / REFERENCE

Status checked 25 Aug 2026

SOURCE + STATUS	WHAT IT MEANS FOR THE BANK
EU AI Act + 2026 Omnibus BINDING	Classify by intended purpose. Article 50 transparency applies; Annex III duties from 2 Dec 2027. Natural-person credit scoring is high-risk; fraud detection is excepted from that credit item.
US SR 26-2 (supersedes SR 11-7) SUPERVISORY	Current risk-based MRM for traditional and non-generative, non-agentic models. GenAI and agentic AI are expressly outside scope and need broader AI/system governance.
RBI FREE-AI + Draft MRM 2026 REPORT + DRAFT	FREE-AI is a committee report. Draft MRM proposes enterprise inventory/tiering, independent validation, AI/ML and third-party controls, human oversight, resilience and kill switch.
MAS FEAT / AI MRM / Proposed AI Guide lines / SAFR REFERENCE + PROPOSED	FEAT and AI MRM provide principles/good practices; guidelines remain proposed. SAFR is a runtime-governance reference for policy-bound agent actions and evidence.
CBUAE AI/ML Guidance + Model Management SUPERVISORY	AI inventory, fairness, explainability, monitoring, meaningful human oversight and customer redress; explicit immediate stop capability and provider diversification.
PRA SS1/23 + ECB supervisory focus SUPERVISORY	Identification/classification, governance, development/use, independent validation and mitigants; ECB treats AI as a business, model, operational and third-party risk issue.
NIST AI RMF + GenAI Profile VOLUNTARY	Govern-Map-Measure-Manage, supported by evaluations, provenance, human-AI role definition, red teaming, incident response and continuous monitoring.
ISO 42001 / 42005 + FSB 2026 STANDARD + CONSULTATION	ISO provides management-system and impact-assessment baselines; FSB proposes organisation-wide responsible-AI sound practices and highlights concentration/dependency risks.

COMMON CONTROL SPINE

INVENTORY

TIER

VALIDATE

BOUND AUTHORITY

HUMAN OVERSIGHT

MONITOR

EVIDENCE

RESILIENCE

Efficiency creates value when faster service, lower cost and stronger control scale together.